

ERP System Implementation Project (Odoo)

Watan Designs Limited, Kingdom of Saudi Arabia

Training Manual & Implementation Guide by:

Dubai in Cairo Ltd.

For Digital Marketing and eCommerce Services

Odoo Purchasing Module (Chapter 04)

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4.0 Purchasing Management System

4.1 Introduction and Objectives

Odoo's procurement management system is a core component that ensures the timely availability of raw materials and operational needs, at the best prices. This system connects suppliers, inventory, and accounting, facilitating efficient procurement planning, order tracking, and precise invoicing and supplier management.

System Objectives:

- Organizing the purchasing cycle from Purchase Order to receiving the invoice and payment.
- Managing supplier relationships, tracking prices and contracts.
- Adjusting inventory levels via automatic reordering rules.
- Monitoring the financial performance of suppliers, and the quality of supply.
- Supports full integration with inventory, accounting, and manufacturing departments.

4.2 Basic Terminology

Term	Translation	Practical Explanation
Request for Quotation (RFQ)	طلب عرض سعر أو تسعير المورد	A request for quotation is sent to suppliers for comparison and selection.
Purchase Order (PO)	أمر شراء أو أمر التوريد	A formal purchase order is issued to the supplier after the offer is approved.
Vendor (Supplier)	مورد أو تاجر جملة	The supplier is the entity that is dealt with to supply goods or services.
Vendor Bill (Purchase Invoice)	فاتورة توريد فاتورة مشتريات	The supplier's invoice is issued after the goods have been received.
Receipt (Inbound Shipment)	استلام بضائع أو دخول مخازن	The process of receiving materials into the inventory resulting from a purchase order.
Purchase Agreement (Procurement Agreement)	اتفاق توريدات أو اعتماد مورد	A long-term agreement with a specific supplier or adding him to the list of approved suppliers.
Lead Time (Supply Time)	زمن التوريد أو فترة تنفيذ الشراء	The time period between issuing a purchase order and actually receiving the goods.
Stock Reordering Rule (Replenishment Rule)	برمجة إعادة طلب المخزون	A rule for automatic reordering when the quantity of the product in stock decreases.

4.3 Workflow Within The Procurement System

Stage	Goal	Brief Description
1	Preparing A Price Quotation Request	Send a request to a group of suppliers to obtain a price quote for specific products and quantities.
2	Receiving And Comparing Offers	Review the prices, delivery time, and terms, and choose the best option.
3	Issuing A Purchase Order	Approval of the offer and its conversion into a formal purchase order.
4	Receiving Materials In Stock	Recording the actual arrival of the goods and verifying the quantities and quality.
5	Supplier Invoice Registration	Match the invoice with the purchase order and receipt.
6	Approving The Invoice	Confirm the accounting data and send it to the finance department for payment.

4.4 Steps For Working Within The System (Step By Step)

A. Creating a Request for Quotation (RFQ)

1. From the main menu, select: Purchases → Requests for Quotation (RFQ).
 2. Click "Create" then add the supplier name, order date, and purchase type.
 3. Add the required products, their quantities, and units.
 4. Save the order and then send it to the supplier via email or WhatsApp from the system.
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5. After receiving the reply, enter the price and delivery date.

Note: The same request can be sent to more than one supplier for comparison.

B. Converting the request into a purchase order

1. After selecting the best offer, press "Confirm Order".
2. The document type changes from "Request for Quotation" to "Purchase Order (PO)".
3. The purchase order is automatically linked to the supplier and future invoices.
4. The delivery status can be monitored from the same screen.

C. Receiving goods in stock

1. Once the purchase order is confirmed, a "receipt" is automatically generated.
2. From within the purchase order, click on "Receive Products".
3. Check the actual quantities received against the order.
4. Click "Validate" to add items to inventory.
5. In case of a difference or omission, it can be recorded as a note or correction request.

D. Recording the Vendor Bill

1. From the purchase order screen, press "Create Bill".
2. The system automatically fills in supplier, product, and price data.
3. Check the invoice and make sure it matches the order and receipt.
4. Save the invoice, then press "Post" to send it to accounting.
5. After approval, payment can be made directly from the accounting module.

E. Monitoring Suppliers and Contracts

1. From the list: Purchases → Vendors
2. Select the supplier to view the complete history of purchase orders and invoices.

3. Long-term contracts can be entered into to determine fixed prices or periodic quantities.
4. Use supplier reports to monitor performance in terms of compliance, quality and time frame.

4.5 Key Performance Indicators (KPIs)

Index	Description	Goal
Purchase Lead Time (زمن توريد المشتريات)	Average time between creating a purchase order and actually receiving the goods.	≤ 10 days
PO Accuracy (دقة أمر الشراء)	The percentage of purchase orders completed with no discrepancies in quantity, price, or delivery time.	$\geq 95\%$
Supplier On-Time Delivery (معدل التزام المورد بالمواعيد)	The percentage of supplies received on the date mentioned in the price quotation.	$\geq 90\%$
Invoice Matching Accuracy (نسبة توافق فواتير المشتريات)	The accuracy percentage of matching invoices with purchase orders.	$\geq 98\%$
Purchase Cost Savings (وفورات تكلفة المشتريات)	The percentage of savings as a result of repeatedly comparing offers and choosing the best one.	$\geq 5\%$

4.6 Frequently Asked Questions (FAQs)

Q: What is the difference between a request for quotation and a purchase order?

A: A request for quotation is an initial inquiry stage to find out prices, while a purchase order is the official document that approves the order from the supplier.

Q: How can one deal with multiple suppliers for the same product?

A: More than one supplier can be entered on the product page, with prices and delivery time specified for each supplier.

Q: How are purchases linked to inventory?

A: When goods are received from a purchase order, the quantities are automatically entered into inventory and linked to the specified warehouse.

Q: Does the system support pre-purchase approvals?

A: Yes, the Approval Rules feature can be activated so that no purchase order is approved except after approval by the Procurement Manager, the Finance Manager, or both.

4.7 Data Entry Rules (Data Hygiene)

1. Make sure to define each resource only once, to avoid duplication.
2. Enter the supplier's email, mobile number, and WhatsApp number to activate automated communication.
3. Matching purchase orders with invoices and receipts accurately.
4. Use the "Notes" feature to document any delays or disruptions in supply.
5. Review supplier reports periodically to assess their performance.
6. Archive old purchase orders that have been closed to avoid conflicts.

7. Never rely on a single supplier for any product, whatever the reasons.
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4.8 Daily Checklist For The Purchasing Officer

- Review open quotation requests and send new requests to suppliers.
- Ensuring that purchase orders in progress and delivery dates are being monitored.
- Review the inventory receipts and ensure that the quantities match.
- Record the new invoices as soon as they are received from suppliers.
- Review market prices periodically and compare them with previous and current prices.
- Prepare a weekly report of approved and cancelled purchase orders.
- Monitoring performance indicators related to supply and adherence to deadlines.